11 Oct 2026 20:38:17 ET | 14 pages

YUMC (YUMC.N/9987.HK)

3Q26 results preview

CITI'S TAKE

YUMC is scheduled to announced 3Q26 results in the first week of Nov. In 3Q26, we expect its **group SSS** to decline by 1% (**KFC**: -1%, **PH**: -0.5%), better than the market's most bearish expectation of -2% SSS. Including the benefit of ~6% of Rmb appreciation vs US$, we project its 3Q26 **group US$-sales** to grow by 10% YoY. We anticipate its **group restaurant profit** to expand by 13% YoY (**KFC**: +11% YoY, **PH**: +23% YoY) and **group OP** to grow 14% YoY (**KFC**: +10% YoY, **PH**: +29% YoY) in 3Q26. With YoY decreased finance income, we expect its 3Q26 **group NP** to grow by 12% YoY. Maintain **Buy**.

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Likely improved market sentiment prior to 3Q26 print — Given KFC's further intensified promotions during Golden Week holidays (eg. "Crazy Mon to Thu/"疯狂周一到周四"" on Oct 5-8, see Fig 1, per *Sina News on Oct 6*), we expect its SSS to sequentially improve in Oct vs 3Q (albeit some negative impact on KFC restaurant margin, which will be partially mitigated by expanded PH restaurant margins). Per market feedback, mgmt has managed down market's expectations through active investor communication in Sept. On the 3Q26 earnings call, we expect mgmt to guide for sequentially improved SSS in 4Q26 vs 3Q26 and highlight PH restaurant margin expansion YoY (which the market has under-appreciated). Like its previous quarter results, we expect sequentially improved market sentiment on YUMC prior to its 3Q26 print.

Preview on group 3Q26 financials — Group SSS: -1% (**KFC**: -1%, **PH**: -0.5%)**; Group system sales:** +4% YoY (**KFC**: +4% YoY, **PH**: +4% YoY); **Group sales (in US$):** +10% YoY (**KFC**: +10% YoY, **PH**: +10% YoY, incl 6% benefit of Rmb appreciation vs US$ in both **KFC** & **PH**); **Group restaurant profit (in US$):** +13% YoY (**KFC**: +11% YoY, **PH**: +23% YoY); **Group OP (in US$):** +14% YoY (**KFC**: +10% YoY, **PH**: +29% YoY); **Group NP** (in US$): +12% YoY; **EPS (in US$)**: +16% YoY.

3Q26 KFC biz preview — SSS: -1%**; System sales:** +4% YoY (mainly driven by new store sales contribution); **Reported sales (in US$):** +10% YoY (incl 6% benefit of Rmb appreciation vs US$); **Restaurant margin**: +20bps YoY (on YoY decreased cost paid to delivery platforms & efficiency improvement, albeit some operating deleverage at comp-stores); **Restaurant profit (in US$):** +11% YoY: **OP margin**: flat YoY (due to absence of its ad-hoc government subsidies received in 3Q25); **Reported OP (in US$):** +10% YoY.

3Q26 PH biz preview — SSS: -0.5%**; System sales:** +4% YoY (mainly driven by new store sales contribution); **Reported sales (in US$):** +10% YoY (incl 6% benefit of Rmb appreciation vs US$); **Restaurant margin**: +170bps YoY (mainly driven by ~170bps benefit from royalty fee savings after completion of PH brand acquisition on Aug 6, albeit YoY pressure in underlying restaurant margin); **Restaurant profit (in US$):** +23% YoY: **OP margin**: +150bps YoY (incl ~170bps benefit from royalty fee savings, albeit absence of its ad-hoc government subsidies received in 3Q25); **Reported OP (in US$):** +29% YoY.

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

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Data Summary

						Rating		Short-Term	Target Price						Current Fiscal Year EPS		Next Fiscal Year EPS	
Company	Ticker	Ccy	Price	Mkt Cap (M)	Date & Time	Old	New	View	Old	New	ESPR (%)	Div Yld (%)	ETR (%)	Last Rpt Yr	Old	New	Old	New
Yum China Hldg	9987.HK	HK$	340.40	116,573	09 Oct 16:10	1	nc	-	453.30	nc	33.2	2.3	35.5	Dec-25	2.91	nc	3.17	nc
Yum China Hldgs	YUMC	US$	42.92	14,698	09 Oct 16:00	1	nc	-	58.10	nc	35.4	2.3	37.7	Dec-25	2.91	nc	3.17	nc

1 = Buy, 2 = Neutral, 3 = Sell, H = High Risk
ESPR = Expected Share Price Return, ETR = Expected Total Return, nc = no change
Source: Citi Research
^Catalyst Watch

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3Q26 results preview

Figure 1. Intensified KFC promotion: "Crazy Mon to Thu"" on Oct 5-8



Source: Company

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Yum China

Company description

YUMC is China's largest restaurant company with 12,170 outlets (at end-June 2022) nationwide under the brands of KFC, Pizza Hut, Little Sheep, East Dawning and Taco Bell. YUMC was spun off from YUM! Brands and separately listed on NYSE on Nov 1, 2016. As a sector leader in O2O, the company operates two leading home delivery brands (i.e., KFC Home Service and Pizza Hut Delivery). In May 2017, it acquired food delivery platform Daojia to target high-income households in such top-tier cities as Beijing, Shanghai, Guangzhou and Shenzhen.

Investment strategy

We have a Buy rating on YUMC, which with 2bn+ annual customer visits to its restaurants has very few equals as a play on China consumption. With two high-recognition brands (KFC and Pizza Hut), an efficient supply chain, leading IT infrastructure and a proprietary customer database, YUMC not only dominates the bricks-and-mortar restaurant landscape but also is one of the largest O2O players in China, supported by digital-savvy strategic partners. New store openings, same store growth and margin expansion will drive net profit growth in the next three years. High operating leverage means earnings could significantly surpass expectations if SSSG beats forecasts.

Valuation

Our TP of Hk$453.3 is based on 10x 26E EV/adjusted EBITDA (at par to global restaurant peers). Our adjusted EBITDA has excluded the amortization cost of right-of-use assets (i.e., rental cost in nature). We believe EV/EBITDA is a more valid valuation methodology for YUMC than P/E as it eliminates distortions arising from differences in capital structures and expansion strategies.

Risks

Key downside risks that could mean the YUMC shares fail to achieve our target price include (1) food safety scares in the industry; (2) increasing focus on healthier eating by Chinese consumers; (3) competition turning more intense than expected; (4) higher-than-expected cost inflation; and (5) greater-than-expected depreciation of Rmb against USD.

YUM China Holdings INC

Company description

YUMC is China's largest restaurant company with 12,170 outlets (at end-June 2022) nationwide under the brands of KFC, Pizza Hut, Little Sheep, East Dawning and Taco Bell. YUMC was spun off from YUM! Brands and separately listed on NYSE on Nov 1, 2016. As a sector leader in O2O, the company operates two leading home delivery brands (i.e., KFC Home Service and Pizza Hut Delivery). In May 2017, it acquired food delivery platform Daojia to target high-income households in such top-tier cities as Beijing, Shanghai, Guangzhou and Shenzhen.

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Investment strategy

We have a Buy rating on YUMC, which with 2bn+ annual customer visits to its restaurants has very few equals as a play on China consumption. With two high-recognition brands (KFC and Pizza Hut), an efficient supply chain, leading IT infrastructure and a proprietary customer database, YUMC not only dominates the bricks-and-mortar restaurant landscape but also is one of the largest O2O players in China, supported by digital-savvy strategic partners. New store openings, same store growth and margin expansion will drive net profit growth in the next three years.

Valuation

Our TP of US$58.10 is based on 10x 26E EV/adjusted EBITDA (at par to global restaurant peers). Our adjusted EBITDA has excluded the amortization cost of right-of-use assets (i.e., rental cost in nature). We believe EV/EBITDA is a more valid valuation methodology for YUMC than P/E as it eliminates distortions arising from differences in capital structures and expansion strategies.

Risks

Key downside risks that could mean the YUMC shares fail to achieve our target price include (1) food safety scares in the industry; (2) increasing focus on healthier eating by Chinese consumers; (3) competition turning more intense than expected; (4) higher-than-expected cost inflation; and (5) greater-than-expected depreciation of Rmb against USD.

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IMPORTANT DISCLOSURES

YUM China Holdings INC (YUMC)

Ratings and Target Price History
Fundamental Research

Analyst: Xiaopo Wei, CFA



	Date	Rating	Target Price	Closing Price
1	15-Mar-24 03:21:52	1	*71.19	41.95
2	18-Aug-24 20:29:34	1	*49.00	33.55

	Date	Rating	Target Price	Closing Price
3	29-Sep-24 19:27:31	1	*58.80	45.35
4	09-Feb-25 19:38:42	1	*60.10	48.44

	Date	Rating	Target Price	Closing Price
5	01-May-25 10:59:00	1	*53.10	43.33
6	12-Apr-26 17:11:48	1	*58.10	49.76

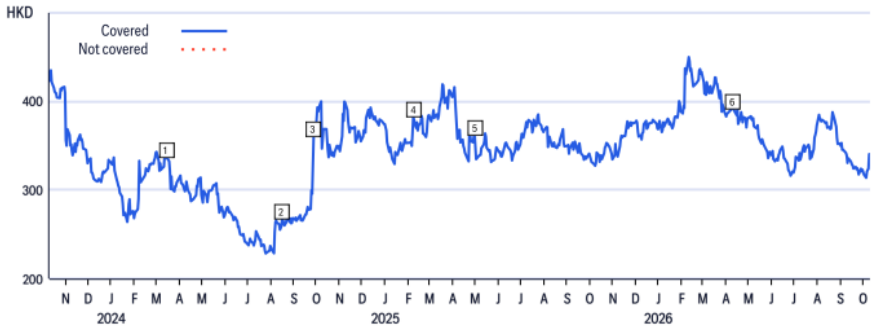
*Indicates Change

Rating/target price changes above reflect Eastern Time

Yum China (9987.HK)

Ratings and Target Price History
Fundamental Research

Analyst: Xiaopo Wei, CFA



	Date	Rating	Target Price	Closing Price
1	15-Mar-24 03:36:54	1	*559.90	336.80
2	18-Aug-24 20:29:34	1	*382.30	268.60

	Date	Rating	Target Price	Closing Price
3	29-Sep-24 19:27:31	1	*458.60	361.00
4	09-Feb-25 19:50:50	1	*468.30	382.80

	Date	Rating	Target Price	Closing Price
5	01-May-25 10:59:00	1	*414.10	362.60
6	12-Apr-26 17:11:48	1	*453.30	392.80

*Indicates Change

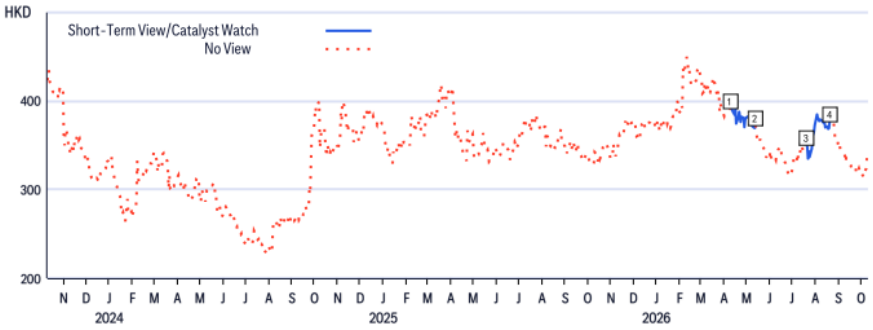
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Yum China (9987.HK)

Short-Term View/Catalyst Watch Research

Analyst: Xiaopo Wei, CFA



	Date	Action	Expected Direction	Duration	Closing Price
1	12-Apr-26 13:11:48	Add STV	Upside	30 Days	392.80
2	13-May-26 00:13:11	Remove STV	Upside	30 Days	373.00
3	20-Jul-26 04:42:25	Add STV	Upside	30 Days	351.00
4	20-Aug-26 00:35:45	Remove STV	Upside	30 Days	378.00

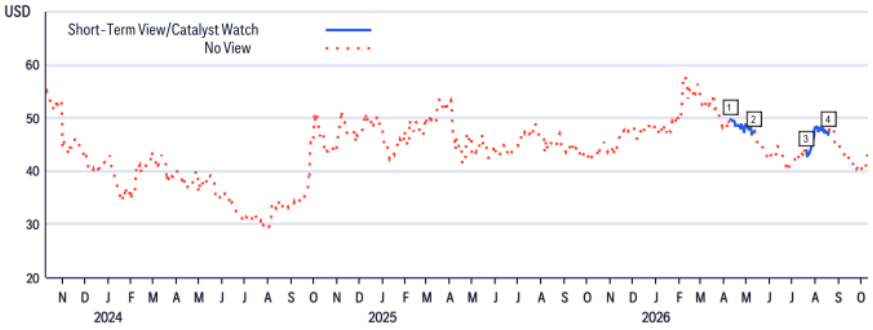
CW - Catalyst Watch , STV - Short-Term View

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YUM China Holdings INC (YUMC)

Short-Term View/Catalyst Watch Research

Analyst: Xiaopo Wei, CFA



	Date	Action	Expected Direction	Duration	Closing Price
1	12-Apr-26 13:11:48	Add STV	Upside	30 Days	49.76
2	12-May-26 12:13:10	Remove STV	Upside	30 Days	47.62
3	20-Jul-26 04:42:25	Add STV	Upside	30 Days	43.93
4	19-Aug-26 12:06:03	Remove STV	Upside	30 Days	47.58

CW - Catalyst Watch , STV - Short-Term View

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